

## For Ryan: what this is, what to ask, what to bring

Print this and bring it to the lawyer Wednesday. Page 1 is what Doug is actually proposing, in plain words, so you can explain it accurately. Then the questions, with a box to check and a line to write on. The rating question in section A decides everything else.

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### What Doug is actually proposing (read this to the lawyer)

Doug runs Second Nature Tree, a Peekskill tree company. He wants to move into storm and utility work, where the money is, and Andrew Brink told him the biggest public contracts in New York are reserved for companies owned and run by service-disabled veterans. The idea on the table is:

1. You form your own New York company, in your name, that you own at least 51% of and actually run.
2. That company gets certified as a Service-Disabled Veteran-Owned Business (state) and possibly the federal version.
3. It bids on state and municipal tree and vegetation contracts that are set aside for veteran-owned firms.
4. Second Nature works as a subcontractor under your company on those jobs, and your company can sub under Second Nature on Doug's private work. Two real companies, paper both ways.

**What it is not:** it is not you lending your name to Doug's company. The rules require you to run yours, and "the veteran signs, someone else runs it" is the pattern the government prosecutes. Doug does not want that and neither should you.

**What has to be true first:** your VA rating has to allow you to run a company without losing your benefits. That is the only reason the questions below exist. Nothing gets formed, signed or filed until that answer is in writing from your lawyer.

**Timeline, honestly:** even if everything checks out, this is 2027 money. Certification takes weeks, bids take months, and the first storm work Doug does this winter needs none of it. There is no rush, and anyone who tells you there is has a reason.

## Do not do any of these yet

☐ **Do not form an LLC or file anything with the state or the SBA.**

Not until the lawyer answers section A and B in writing.

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☐ **Do not sign anything Andrew, Doug, or anyone else sends you about a company, a partnership, or "registration help."**

Andrew offered to walk you through SDVOB registration in "2 or 3 days." His intentions are good; his situation is different (he is going on SSDI and wants nothing in his name). Yours has to be done right, not fast.

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☐ **Do not tell the VA anything about business plans, and do not withdraw or change any pending claim.**

Plans are not income. Filings are. Let the lawyer sequence it.

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☐ **Do not accept cash for work from anyone.**

Every dollar you earn goes on paper, so it can be shown to be under the limit if you're on TDIU, or shown to be legitimate if you're schedular. Cash is how people lose benefits.

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☐ **Do not pay anyone for "certification help."**

Both applications are free. The NYS Department of Veterans' Services will walk you through the state one for nothing.

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## What to bring the lawyer Wednesday

☐ **Your VA rating decision letter**

(the one that lists each condition and percentage) and the **benefits summary letter**

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VA.gov → Records → Download VA letters. Or eBenefits. Both are free and instant with a login.

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☐ **DD-214.**

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☐ **Any correspondence on the claim you have pending**

(the back-pay matter you mentioned to Doug) and any SSDI award letter if you have one.

Retroactive VA compensation is a benefit, not earned income, and should not count against TDIU; but the lawyer should confirm how it and any SSDI interact with the plan.

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☐ **Your medical picture in one page:**

the liver diagnosis, whether it is service-connected, the rehab discharge date, and what your doctors say you can and cannot physically do.

This decides what kind of role is realistic, and it decides the 3-year vs 10-year spouse rule.

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☐ **This packet**

, with the set-asides page behind it if you want the sources.

## A. Your VA rating (the one that decides everything)

On the call you said "TDIU, where I can still physically work." TDIU is the VA paying you at 100% *because* you can't hold a real job. A 100% *schedular* rating pays the same but lets you work and earn without limit. They are different things and only one of them fits a company you run. It says which on your rating decision letter.

☐ **1. Is your 100% "schedular" or is it "TDIU / Individual Unemployability"?**

Look at the rating decision letter or the VA.gov benefits summary letter. The words "individual unemployability" or "IU" appear if it's TDIU.

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☐ **2. What is your combined schedular percentage on its own, without TDIU?**

If it's already 100% on the schedule, there's no TDIU question at all.

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☐ **3. Is the rating marked "permanent and total" (P&T)?**

Changes the federal spouse rule and whether the VA can re-examine you.

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☐ **4. Which conditions are service-connected, and at what percent each?**

Is the liver condition one of them? That answers the "died of a service-connected condition" question later.

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☐ **5. Do you have any claim or appeal pending right now (increase, new condition, TDIU)?**

Starting a company while a TDIU claim is pending is the worst possible timing.

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☐ **6. When was your last C&P exam, and is a future one scheduled?**

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☐ **7. Do you also get Social Security disability (SSDI)?**

Separate program, separate income rules (about \$1,600/month "substantial gainful activity" in 2026). Andrew is on SSDI; that's why he can't be on paper.

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## B. If it's TDIU: what the lawyer has to answer in writing

These are the actual rules. The lawyer should be able to answer each one by citation, not by feel. If he can't, the binder isn't done.

### ☐ 8. How much can I earn from work before the VA calls it "substantially gainful"?

Rule: 38 CFR 4.16(a). Earned income at or below the one-person poverty threshold (about \$16,000 a year) is "marginal" and allowed. Above it is gainful, unless the job is in a "protected environment" like a family business.

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### ☐ 9. If I own a company, is my income from it "earned" or "passive"?

Distributions from a company you don't manage are unlimited. Income from a company you run is earned, and the VA looks at hours and duties, not just the salary you set yourself.

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### ☐ 10. Can I be the 51% owner and the person in charge of a tree company and keep TDIU?

This is the collision. NY SDVOB and federal SDVOSB certification both require the veteran to control the company day to day (federal: full time). TDIU requires that you can't hold a substantially gainful job. Ask him to reconcile those two sworn statements.

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### ☐ 11. What happens to TDIU if I work anyway?

38 CFR 3.343(c): the VA can reduce it after 12 consecutive months of substantially gainful work. Falsely certifying no self-employment is a federal crime; a Moriah NY veteran was sentenced for it.

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### ☐ 12. How does the VA find out? Do I have to file anything?

The annual employment form is gone; the VA matches Social Security wage records and sends the form only if wages exceed the threshold.

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### ☐ 13. Is a "sheltered / protected environment" job in a friend's company a real option, and how is it documented?

### ☐ 14. Can I realistically get to 100% schedular instead, and how long would that take?

If yes, the company waits for that.

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## C. The company itself

### ☐ 15. Do you actually want to run a company day to day, on paper and in fact?

Not "own." Run. Sign, hire, bid, manage. That's what the certification requires and what a reviewer checks. If the honest answer is "Doug runs it, I own it," that's the figurehead pattern that gets prosecuted.

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### ☐ 16. Are you married? Would your spouse be willing to own or control the company?

This matters twice. While Ryan is alive: federally, a spouse or permanent caregiver can control the company for a 100% P&T veteran (13 CFR 128.102). After: a surviving spouse who takes his ownership keeps **federal**

status and can keep winning federal set-asides for 10 years (if rated 100% or death is service-connected) or 3 years otherwise, ending early on remarriage or sale (128.202(i)).

**New York has no spouse rule at all**

: state certification is revoked within 30 days of his death no matter who inherits, and no new state set-aside work comes in. Contracts already signed run on in both systems.

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### ☐ 17. Do you have a will, and who would inherit your share of a company?

Whoever it is, the NY certificate does not go with it. The company, its contracts and its equipment do.

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### ☐ 18. Would you sign an operating agreement with a buy-sell clause and a named successor manager, and take out key-person life insurance?

Ordinary tools, nothing in the rules forbids them. They keep the company alive without the certificate.

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### ☐ 19. Do you hold a DD-214 and can you get the VA "benefits summary letter" and the rating decision letter from VA.gov?

Both applications need them. VA.gov → Records → Download VA letters.

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### ☐ 20. Is your VA rating registered with the VA as "service-connected" (not pension)?

Federal SDVOSB accepts any service-connected rating including 0%; NY needs 10% or more.

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## D. Benefits that could actually help the plan (ask the lawyer to check each)

Things a VA-accredited lawyer should know about and Andrew mentioned one of. None of these require the company to exist first.

### ☐ 21. VR&E (Chapter 31) self-employment track.

Veterans with a service-connected disability and an employment handicap can get business-plan help, training, and in some cases start-up equipment or supplies through Veteran Readiness and Employment. Ask whether Ryan qualifies and what the self-employment track funds.

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### ☐ 22. GI Bill for the ISA Certified Arborist course and exam.

Andrew's suggestion. An arborist on staff is the credential that opens municipal and state tree bids; VA education benefits can pay for the study and licensing test fees.

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### ☐ 23. NY property tax exemption and the NYS Veterans' Services eligibility meeting.

OGS points SDVOB applicants to the NYS Department of Veterans' Services first. Book that meeting; it's free.

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### ☐ 24. Does anything in the plan touch VA health care, Chapter 35 for dependents, or CHAMPVA?

Income from a company you run can affect means-tested benefits; a rating-based one is not means-tested. Ask which of Ryan's are which.

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## E. Hand this part to the lawyer

Four questions, with the rules they turn on, so the answers come back in writing with citations.

| QUESTION                                                                                                                                                                                                                                        | RULE IT TURNS ON                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Can a TDIU recipient be the 51% owner who "controls independently the day-to-day business decisions" of a NYS SDVOB, and manages daily operations full time for a federal SDVOSB, without VA treating that as substantially gainful employment? | 38 CFR 4.16(a) and 3.343(c); 9 NYCRR Part 252 (OGS SDVOB); 13 CFR 128.203(a),(b),(i)                                                                                                 |
| If his rating is TDIU designated P&T, does the federal spouse/caregiver control exception apply, and is there any NY equivalent?                                                                                                                | 13 CFR 128.102 (definition of permanently and totally disabled), 38 CFR 3.340; 9 NYCRR 252 (none found)                                                                              |
| On his death, what exactly happens to (a) the NY certificate, (b) federal status, (c) contracts already awarded?                                                                                                                                | 9 NYCRR 252.3 (30-day notice, revocation, no heir rule); 13 CFR 128.202(i) (surviving spouse, 3 or 10 years) and 128.307; FAR 52.219-28 and 13 CFR 125.12 (recertification, options) |
| Given the liver condition, is it service-connected, and does that change the surviving-spouse window from 3 years to 10?                                                                                                                        | 13 CFR 128.202(i): 10 years if rated 100% or death from a service-connected disability, otherwise 3                                                                                  |

**The one thing to make the lawyer say out loud:** "Yes, Ryan can run this company full time and keep his benefits," or "No, he can't." Everything Andrew said about set-asides is downstream of that sentence.

## Ways to work with Doug that need no certificate at all

The set-aside plan is Andrew's idea and it is optional. Working together is not contingent on it. All of these can start the week you're out, and each one fits a different answer to section A.

| ROLE                                                                                                                                                                                                   | FITS WHICH RATING                                                                          | NOTES                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| <b>The storm desk.</b> Phones, the daily hours-and-photos log from crews, W-9s and COIs on file, the billing package, calling the roster when a storm hits. The job Andrew did from a chair on Roscoe. | Schedular: any hours. TDIU: part-time and paid under the ~\$16k marginal line, documented. | No lifting, no climbing, no CDL. It is the highest-value seat in the storm plan and nobody is in it. |
| <b>Day-hire on residential jobs</b> (ground, dragging, driving the chip truck).                                                                                                                        | Schedular only, realistically. TDIU: only inside the marginal limit.                       | Doug's own line to you: "don't do any heavy lifting, drive."                                         |
| <b>W-2 employee of Second Nature</b> at a set wage.                                                                                                                                                    | Schedular: fine. TDIU: only if wages stay marginal, and the VA will see the wages.         | Cleanest paper. Payroll through NYSIF workers' comp.                                                 |
| <b>Passive investor in a company Doug or Catherine runs.</b>                                                                                                                                           | Either. Protects TDIU completely.                                                          | No certificate, no set-asides, but distributions are not earned income.                              |
| <b>Owner-operator of your own certified company.</b>                                                                                                                                                   | Schedular only, or 100% P&T with a spouse who runs it (federal).                           | Andrew's vision. Two-year build.                                                                     |

What Doug pays for the desk role is Doug's number to set, on paper, before the first storm.

## Straight advice, from the research and from Doug

1. **Your rating is worth more than any contract.** A 100% rating is roughly \$3,900 a month for life, tax-free, plus health care. No tree contract is worth risking it on a form filled out wrong. Get the lawyer's answer in writing and keep it.
2. **You said "if I'm gonna be alive I need to work."** Doug heard that. Build the work so it doesn't need your liver: the desk, the phone, the paperwork, the roster. That is real work that pays and it is exactly the piece of storm work Doug can't do from a bucket truck.
3. **Rehab first.** About 40 days left. Nothing here needs a signature before you're out, and the storm season the plan is built around starts in November.
4. **Slow is fine.** Certification, if it happens, is weeks. Contracts are months. Andrew's "two or three days" was the form, not the business.
5. **Keep your own lawyer in the loop on anything Doug or Andrew propose.** Doug wants it that way. The plan only works if it works for you when the lawyer reads it.
6. **Ask about VR&E.** Veteran Readiness and Employment (Chapter 31) has a self-employment track that can fund a business plan, training, and in some cases start-up equipment. If the company ever forms, that is the money to look at before any loan.

## Red flags, so you can spot them from anyone

1. "You just sign, we'll run it." That is certification fraud. A construction owner got 27 months in federal prison for exactly that (the Padron case, \$240 million in set-asides).
2. "Take it in cash, nobody needs to know." That is how veterans lose TDIU and pick up a federal charge (a Moriah NY veteran was sentenced for falsely certifying no self-employment).
3. "It's only 2 or 3 days of paperwork." The certificate is quick. Running the company is the commitment, and the rules check that you actually do.
4. "Pay us to get you certified." Both certifications are free.
5. Anyone, including Doug, asking for 51% of anything you own. Doug's own rule is the reverse: your company is yours, his is his, and they sub to each other on paper.

## Glossary (so nobody nods along)

**Schedular rating:** the VA's percentage for how disabled your rated conditions make you, added up on the VA schedule. 100% schedular = full pay, no work limits.

**TDIU / IU:** Total Disability based on Individual Unemployability. Paid at the 100% rate even though the schedule adds up to less, because the conditions stop you holding a real job. Conditional on not working in a meaningful way.

**P&T:** Permanent and Total. A 100% rating (schedular or TDIU) the VA does not expect to improve; no future re-exams; unlocks some extra benefits and the federal spouse rule.

**C&P exam:** Compensation and Pension exam. The VA medical exam that sets or re-checks a rating.

**SDVOB:** New York State Service-Disabled Veteran-Owned Business certification (OGS). 51% owned and controlled by a veteran with a 10%+ rating. 6% state goal. Good 5 years.

**SDVOSB / VetCert:** the federal version (SBA). Any service-connected rating. Veteran runs it full time. 3% federal goal. Good 3 years.

**MWBE / WBE:** NYS Minority- and Women-owned Business Enterprise (Catherine's lane). 51% owned and controlled by a woman. 30% combined state goal, shared pool.

**Commercially useful function:** the certified company has to do real work, supervision or management on the contract. Holding the contract and subbing it all out fails this and is treated as fraud.

**Set-aside:** a public contract (state, city, authority, federal) reserved for certified firms. Private primes like Optimal and Servpro have no set-asides; they hire whoever is insured and ready.

**SSDI:** Social Security disability, a different program with its own earnings cap (about \$1,600/month in 2026). Andrew's situation, not the VA's.

**VR&E / Chapter 31:** VA Veteran Readiness and Employment; has a self-employment track that can fund a business plan and start-up needs for eligible veterans.